

SMALL BUSINESS GREEN LOAN POLICY

Commercial Lending | Controlled Policy Document

Policy ID	CML-217	Version	2.1
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Policy Owner	Commercial Credit Administration	Approval Authority	Senior Credit Committee
Classification	Internal Use Only	Supersedes	Version 2.0

Approved by the Senior Credit Committee on July 10, 2026.

POLICY STATEMENT

Cedar Ridge Community Bank offers Green Business Loans as a specialized type of Business Loan for eligible energy-efficiency and renewable-energy projects. Each Green Business Loan must be made to a qualifying Borrower Organization and must be underwritten, approved, documented, and monitored in accordance with this policy and the Bank's Commercial Credit Policy.

1. Purpose

This policy establishes the minimum product, eligibility, underwriting, approval, collateral, documentation, and monitoring requirements for the Bank's Small Business Green Loan program. The program is intended to support creditworthy businesses financing projects that reduce energy consumption, improve operating efficiency, or add qualifying renewable-energy capacity.

2. Scope

This policy applies to all Green Business Loans originated, renewed, modified, or increased by the Commercial Banking line of business. It applies to relationship managers, credit analysts, loan operations personnel, approvers, and portfolio management staff involved in these transactions.

This policy supplements the Commercial Credit Policy, Loan Documentation Standard, Collateral Valuation Standard, and Environmental Risk Management Standard. Where requirements conflict, the more restrictive approved requirement governs unless a documented exception is granted under Section 8.

3. Definitions

Borrower Organization. A legal organization, including a corporation, limited liability company, partnership, nonprofit organization, or other recognized business entity, that is obligated to repay a loan. Individuals borrowing primarily for personal, family, or household purposes are not eligible under this program.

Business Loan. A loan extended primarily for a commercial or business purpose rather than a consumer purpose.

Green Business Loan. A Business Loan whose approved use of proceeds is limited to one or more Eligible Green Projects.

Eligible Green Project. A documented capital improvement, equipment purchase, installation, or facility upgrade that is expected to reduce energy or water consumption, improve resource efficiency, reduce waste, or produce renewable energy for business use.

Collateral. Property or other assets in which the Bank obtains a security interest to support repayment of a credit obligation.

Senior Credit Officer. A Bank officer holding delegated senior commercial credit approval authority under the current Credit Approval Authority Schedule.

4. Product and Eligibility Requirements

4.1 Product Classification and Borrower Eligibility

- Every Green Business Loan is a Business Loan and must be booked under an approved commercial loan product code.
- The borrower must be a Borrower Organization in good standing in its jurisdiction of organization and authorized to conduct the business for which credit is requested.
- The borrower must demonstrate sufficient historical or projected cash flow to repay the proposed obligation under the Bank's normal commercial underwriting standards.

- The loan must finance an Eligible Green Project used in the borrower's business operations or in commercial property owned or controlled by the borrower.

4.2 Eligible Uses of Proceeds

Eligible uses of proceeds include the acquisition, installation, replacement, or permanent improvement of qualifying equipment or systems. Examples include:

- high-efficiency heating, ventilation, air-conditioning, refrigeration, lighting, insulation, building controls, motors, pumps, or manufacturing equipment;
- solar, geothermal, battery-storage, or other renewable-energy systems serving the borrower's operations;
- water-efficiency, waste-reduction, or material-recovery systems with a documented business purpose; and
- professional design, engineering, permitting, and installation costs directly attributable to an Eligible Green Project.

Working capital, owner distributions, speculative investments, and refinancing unrelated to an Eligible Green Project are not eligible uses of proceeds under this program.

5. Credit Structure and Approval

5.1 Loan Amount, Term, and Pricing

- The standard program loan amount is \$50,000 to \$2,000,000. Requests outside this range require a documented policy exception.
- The term may not exceed the shorter of the financed asset's expected useful life or ten years, unless otherwise approved under the Commercial Credit Policy.
- Each loan must have an interest rate stated as an annual percentage rate. The rate may be fixed or variable and must be documented in the credit approval and loan agreement.
- Amortization must be consistent with the expected useful life of the financed asset and the borrower's demonstrated repayment capacity.

5.2 Approval Authority

Green Business Loans of \$500,000 or less may be approved under the Bank's standard delegated commercial credit authorities. Any Green Business Loan above \$500,000 requires approval by a Senior Credit Officer, even when another officer otherwise holds sufficient dollar authority.

A material increase, extension, restructuring, or change in approved use of proceeds must be reviewed under the same approval requirements that would apply to a new request of the resulting total exposure.

5.3 Collateral

A Green Business Loan may be secured by Collateral. Collateral requirements must reflect the borrower's risk profile, the financed asset, repayment sources, and total relationship exposure. When a loan is approved on an unsecured basis, the credit approval must state the rationale and identify the financial covenants or monitoring controls relied upon in place of collateral support.

Eligible collateral may include financed equipment, accounts receivable, inventory, commercial real estate, deposit accounts, or other business assets acceptable under the Collateral Valuation Standard. Security interests must be properly documented and perfected before or promptly after funding, as required by the approved closing conditions.

6. Underwriting and Documentation

6.1 Minimum Underwriting

The credit file must contain sufficient information to establish borrower eligibility, project eligibility, repayment capacity, and an appropriate credit structure. At a minimum, the underwriting must address:

- ownership, management experience, organizational status, and guarantor support, when applicable;
- historical financial performance, current interim results, liquidity, leverage, and debt-service capacity;
- the total project budget, borrower contribution, vendor quotations, and requested loan amount;
- the expected operating or financial benefit of the Eligible Green Project;
- repayment sources, stress assumptions, collateral coverage, and identified risks; and
- compliance with applicable Bank credit, documentation, environmental, and concentration limits.

6.2 Project Evidence

Before final approval, the file must include reasonable evidence that the proposed use of proceeds qualifies as an Eligible Green Project. Acceptable evidence may include vendor proposals, equipment specifications, engineering estimates, energy assessments, utility analyses, construction plans, permits, certifications, or similar reliable documentation.

The Bank does not independently certify environmental claims. Credit memoranda must distinguish between borrower- or vendor-provided estimates and facts independently verified by the Bank.

6.3 Closing and Disbursement Controls

- Loan documents must describe the approved purpose and include appropriate representations regarding use of proceeds.
- Disbursements should be made directly to vendors or against invoices, receipts, or other evidence of project costs when practical.
- Material changes to project scope, vendors, budget, or borrower contribution must be evaluated before additional funds are released.
- All required collateral, insurance, lien, and closing conditions must be satisfied or formally waived by an authorized approver.

7. Portfolio Monitoring and Records

Green Business Loans are subject to the Bank's standard commercial portfolio monitoring, risk-rating, covenant, and annual-review requirements. Relationship managers must monitor project completion, material cost overruns, repayment performance, and any change that could affect the borrower's ability to repay.

The credit file must retain the approved credit memorandum, source documents supporting project eligibility, approval record, executed loan documents, material correspondence, exception approvals, and evidence of disbursement. Records must be maintained in accordance with the Bank's Records Retention Schedule.

8. Exceptions

Any exception to this policy must be identified in the credit memorandum, supported by a clear business and risk rationale, and approved before closing by an officer with authority to approve both the credit exposure and the policy exception. An exception may not waive legal, regulatory, or documentation requirements that are not within the Bank's discretion.

Recurring or material exceptions must be reported to Commercial Credit Administration for trend review and possible policy revision.

9. Roles and Responsibilities

Role	Primary Responsibility
Relationship Manager	Confirms borrower and project eligibility, obtains supporting documents, and presents the request accurately.
Credit Analyst	Evaluates repayment capacity, risk, structure, collateral, and compliance with this policy and related credit standards.
Credit Approver	Confirms that the proposed decision is within authority and that material risks, conditions, and exceptions are addressed.
Senior Credit Officer	Provides the required approval for Green Business Loans above \$500,000 and oversees material policy exceptions.
Loan Operations	Documents and books the loan according to the approval, verifies closing conditions, and maintains required records.
Commercial Credit Administration	Owens this policy, monitors exceptions and portfolio trends, and coordinates periodic review and updates.

10. Policy Administration

Commercial Credit Administration will review this policy at least annually and sooner when material changes occur in product strategy, portfolio performance, credit standards, or operating practices. Proposed revisions require approval by the Senior Credit Committee.

Related Controlled Documents

- Commercial Credit Policy
- Credit Approval Authority Schedule
- Loan Documentation Standard
- Collateral Valuation Standard
- Environmental Risk Management Standard
- Records Retention Schedule

Revision History

Version	Effective Date	Approved By	Summary of Change
2.1	July 15, 2026	Senior Credit Committee	Clarified borrower eligibility, project evidence, approval authority, and disbursement controls.
2.0	January 1, 2025	Senior Credit Committee	Expanded the program to include renewable-energy and resource-efficiency projects.
1.0	March 1, 2023	Senior Credit Committee	Initial policy issuance.

Appendix A - Program Eligibility and Approval Summary

This summary is provided for operational reference. It does not replace the full policy requirements or the Bank's Commercial Credit Policy.

Requirement	Policy Standard	Section
Borrower	A qualifying Borrower Organization; consumer-purpose borrowing is excluded.	3; 4.1
Product	A Green Business Loan is a specialized type of Business Loan.	3; 4.1
Use of proceeds	One or more documented Eligible Green Projects.	4.2
Program amount	\$50,000 to \$2,000,000 unless an exception is approved.	5.1
Interest rate	An annual percentage rate, fixed or variable, documented in the approval and loan agreement.	5.1
Senior approval	Any Green Business Loan above \$500,000 requires approval by a Senior Credit Officer.	5.2
Collateral	May be secured by Collateral; unsecured approvals require documented rationale and compensating controls.	5.3
Project evidence	Reliable support such as vendor proposals, specifications, engineering estimates, or similar documentation.	6.2

Policy Questions and Interpretation

Questions regarding product eligibility, approval requirements, exceptions, or interpretation of this policy must be directed to Commercial Credit Administration before a commitment is issued or funds are disbursed.

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